

member of the Board does not share management's views with respect to the acquisition of Tappan by another company. I will attempt to see to it that shareholders are made aware of any indications of interest or actual offers to acquire our company, which are received from third parties.

The letter had the desired impact, and Icahn won his seat on the board.

As a director, he moved quickly to sell Tappan's assets. At the first board meeting he pushed for the liquidation of the company's money-losing Canadian subsidiary, Tappan-Gurney, which owned valuable real estate in Montreal, and for the sale of Tappan's Anaheim, California, factory. He also pressed on for the sale of the entire company, shopping Tappan to leveraged buy-out firms and strategic acquirers. Recognizing that Icahn had won, and would shortly find a buyer, management moved to find their own white knight. Tappan and Blasius met with the giant Swedish appliance maker AB Electrolux and offered Tappan up on a platter. Electrolux bit, bidding \$18 per share. The bid delivered a \$2.7 million profit on Icahn's 321,500 shares, representing an almost 90 percent gain on his \$9.60 per share average purchase price.

In a surprising move, Dick Tappan was so impressed with Icahn's strategy that he subsequently became an investor in Icahn's partnership:²¹

We held a final board meeting, at which time the directors approved the company's sale to Electrolux. Icahn attended that meeting and sometime during the course of the evening I said, 'Icahn has done us a favor. We got a 50 percent premium over the company's market value, and Electrolux is going to make capital investments in Tappan.' I said, 'If you have any deals you want to cut me in on—' That's when Icahn said, 'Yes, I have one going on now.'

And so Dick Tappan became a limited partner, investing \$100,000 in the Carl C. Icahn Partnership. It would prove to be a great investment for the former chairman.

Tappan would become the template for Icahn's later sorties. In Tappan, the theory outlined in the *Icahn Manifesto* had been proven correct in stunning fashion: Acquire a shareholding in a deeply undervalued company sufficiently large to influence management; draw the market's attention to the wide discount between market price and intrinsic value; and push management for a catalyst, like a sale of the company, a liquidation, or some other value-enhancing act. If management remained intransigent and the proxy contest didn't draw the attention of other bidders, Icahn could move to put the company in play by making a tender offer, which put him in a win/win